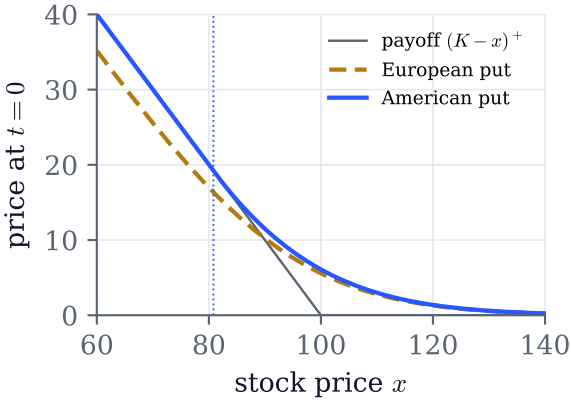
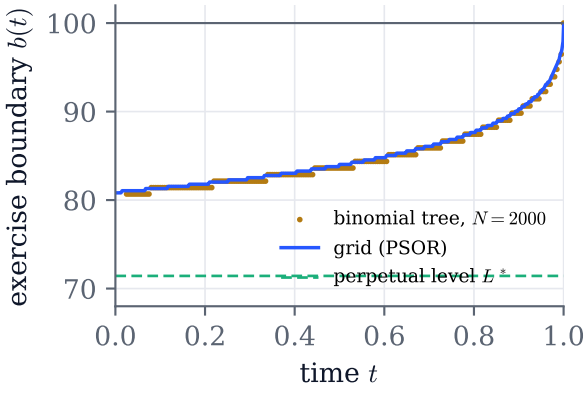

payoff $(K-x)^+$
European put
American put
price at $t=0$
stock price x
0
10
20
30
40
60
80
100
120
140


binomial tree, $N=2000$
grid (PSOR)
perpetual level L^*
exercise boundary $b(t)$
time t
70
80
90
100
0.0
0.2
0.4
0.6
0.8
1.0